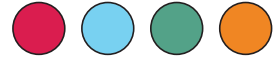


3.2

Different Parts of Annual Report



Annual Reports refer to yearly documents by the company where the company updates its investors about its performance and financial statements. Annual reports include various sections such as **Letter by the chairman, letter by the CEO, management discussions** and others. However, we are only concerned with one section - **the financial statements, both consolidated and standalone**. It is important to get used to these financial statements as there are a lot of data points to understand.



Financial statement includes various components such as:

Auditor's reports

Balance Sheet

Note to Accounts

Cash Flow Statement

Statement of Profit and Loss

Statement of changes in equity

Accounting Policy

These elements together form company's financial statements. Together, these tell us about the company's financial position-present and past. These are the raw data that we will use as inputs to draw various inferences. It is essential to understand each line item.

As we saw in the previous section too, we will enter data into our Excel templates manually to begin with. This is particularly important to get comfortable with the financial statements. Once we are comfortable, we can switch to the different paid subscriptions that we saw in the previous section. Annual reports are the most authentic source for financial data for any given company because that builds level playing field for all analysts and softwares too.

